

JULY 2023

After AMLO

The Economic, Security, and Political Outlook for Mexico in 2024

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A Report of the CSIS Americas Program

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CENTER FOR STRATEGIC &
INTERNATIONAL STUDIES



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Introduction

President Andrés Manuel López Obrador, known widely by the initials AMLO, aimed to transform the politics, economy, and security of Mexico. He calls his wide-ranging series of reforms the “fourth transformation,” placing it on par with other great moments in Mexican history: Mexico’s independence, the Mexican Revolution, and the founding of the modern Mexican state. AMLO is nothing if not ambitious, envisaging himself in the same echelon as Mexico’s national heroes Benito Juárez, Porfirio Díaz, and—AMLO’s personal favorite—Lázaro Cárdenas. But as his *sexenio*—Mexico’s six-year presidential term—ends and AMLO has no possibility for reelection, it is time to take stock of his legacy. A full accounting of what Mexico has experienced and what kind of Mexico AMLO will leave his successor is in dire order. What will Mexico look like in 2024?

At times, AMLO appears to be bulletproof, though his policies, even through a favorable lens, have had mixed results at best. At worst, they have proved counterproductive and even hypocritical. He speaks of environmental stewardship while pouring money into the oil industry and overseeing an uptick in deforestation. He proclaims a demilitarized approach to security while expanding the military’s influence over daily life and wielding a new national guard gendarmerie indiscriminately. He harkens to antiestablishment and populist credentials while centralizing power and defanging independent institutions meant to check the executive. Indeed, by a staggering array of metrics, from citizen security to rural development to democratic accountability, AMLO’s policies actively work against his constituents and self-professed policy objectives. Nevertheless, AMLO’s personal austerity and a persistent rhetoric of anti-corruption mean his approval ratings remain among the highest in Latin America. Even after an unprecedented 8 percent drop in approval following his attack on the popular National Electoral Institute (INE), his approval continued to hover at 60 percent.¹

AMLO’s policies have, in turn, influenced Mexico’s economic, security, and political context with uneven and, at times, paradoxical results. Mexico is inattentive to and seemingly uninterested in nearshoring, lacking a defined

strategy for capitalizing on shifting global supply chains and embroiled in a set of unproductive trade disputes with its North American neighbors. At the same time, the nation is home to a dynamic and vibrant economy, which has seen growth in key sectors, from traditional manufacturing to emerging digital technologies and semiconductors. In terms of security, the forecast is bleak, with efforts to curb organized crime deteriorating to the point of spurring harmful proposals from the U.S. Congress to authorize the use of military force against Mexico's cartels. Nevertheless, a glimmer of potential remains, as long-standing linkages between U.S. and Mexican security forces continue to encourage cooperation in the form of the U.S.-Mexico Bicentennial Framework for Security, Public Health and Safe Communities.² Politically, AMLO's influence has proved corrosive to Mexican democracy, presiding over the country's decline in a few short years from "flawed democracy" to "hybrid regime," according to the Economist Intelligence Unit.³ However, the opposition AMLO has encountered to some of his most deleterious political projects suggests a civil society that remains fiercely dedicated to protecting its hard-won democracy, along with nontrivial checks from both the legislative and judicial branches.

With fewer than two years remaining in his six-year term, a retrospective is warranted to assess the results of the AMLO years, what is yet to come, and what trends will persist long after López Obrador has exited the Palacio Nacional. The objective of such an analysis is not to make predictions about who will succeed AMLO but rather to adumbrate the contours of a post-AMLO Mexico in three important dimensions: economy, security, and politics.

In short, Mexico in 2024 looks economically stagnant despite the once-in-a-generation opportunity presented by nearshoring. The nation is weak and debilitated in its fight against ruthless and expanding cartels and limping more than sprinting as democratic institutions continue to suffer debilitating attacks. Overall, the Mexico of 2024 appears far more battered and bruised than the Mexico AMLO took the reins of in 2018.

Economy

President López Obrador's economic policies have been marked by significant variation. On the one hand, his domestic policy has revolved around a series of social programs that suggest the government's improved commitment to providing a social safety net. On the other, during the pandemic, Mexico was austere in its spending, devoting a fraction of what other large economies in the region committed to economic stimulus and judiciously avoiding fiscal crises from increased public debt.⁴ AMLO has derided “neoliberalism” in all its forms, using this critique as a capacious tent under which to move to greater nationalization of industries and revitalization of often sclerotic state-run enterprises. AMLO has also weaponized austerity to dismantle institutions and agencies he does not like.⁵

To his credit, he successfully negotiated the U.S.-Mexico-Canada Agreement (USMCA) with the administration under U.S. president Donald Trump, helping to create one of the world's most modern trade frameworks. Further, Mexico remains a powerhouse as the second-largest economy in Latin America, with promise in both traditional and emerging sectors. However, according to the World Bank's *Global Economic Prospects* report, Mexico's economy is projected to grow just 0.9 percent in 2023, the lowest rate of growth in all Latin America.⁶ As Mexico continues on the long path to post-pandemic recovery, it has become increasingly apparent that much of the country's economic growth is occurring, as one of the authors notes, “in spite of Mexico's government's policies, rather than because of them.”⁷

Ultimately, restoration of confidence from investors and the business community will influence Mexico's economic position after AMLO according to four main themes: the status of energy reform, Mexico's ability to take advantage of the nearshoring moment, the success of AMLO in delivering on promises to develop the country's southern and rural areas, and Mexico's future bureaucratic and regulatory composition.

Energy Reform

President López Obrador undoubtedly has a keen appreciation for the centrality of energy to Mexican politics and civil society. Indeed, he was carried into power in no small part by the outpouring of popular discontent against the Peña Nieto administration in 2017 as protests erupted against rising gas prices. The spike in gasoline prices, known as a *gasolinazo*, was the sharpest rise in Mexico in two decades.⁸ Overall, prices in some areas rose by 48 percent as the government under President Enrique Peña Nieto passed a major energy reform that ended the legal monopoly of Petróleos Mexicanos (Pemex), Mexico's state-owned oil company. Pemex holds the dubious title of the world's most indebted state-run oil firm and is widely reported to lack the funds or technology to fully develop Mexico's oil reserves (the country ranks 21st in the world in terms of crude oil resources).⁹ Nevertheless, the dramatic effect of the *gasolinazo* protests served to reinforce lessons that López Obrador, a long-standing opponent of privatization, had already taken to heart: the energy reforms of his predecessor must be rolled back, and gas prices must remain stable.

AMLO quickly set about working to realize these goals, placing a hold on new contracts for foreign oil companies and auditing over 100 of the awards signed under Peña Nieto for corruption.¹⁰ At the same time, in the early months of his presidency, AMLO declared an \$8 billion investment for a new Pemex refinery to be located in his home state of Tabasco, a commitment later supplemented with a \$600 million investment from Chinese state banks.¹¹ Expected to become operational in 2023, the refinery project has already run some \$3 billion over budget.¹²



View of the Mexican oil company PEMEX's oil complex in Tula, Hidalgo state, Mexico, on January 11, 2018.

Photo Source: Pedro Pardo/AFP/Getty Images

By far the most ambitious project the president has undertaken is a proposed constitutional reform that would significantly strengthen the state's role in the energy sector. Under the proposed law, Mexico's state-owned power company, the Comisión Federal de Electricidad (CFE), would have a guaranteed 54 percent market share while limiting the participation of private electricity suppliers. It would also fold the autonomous Energy Regulatory Commission (CRE) and the National Hydrocarbons Commission (CNH) into the federal government by making them subordinate to the Ministry of Energy.¹³

The amendment proved a rallying cry for domestic opposition, which cited inefficiencies within the CFE that, by some estimates, would increase operating costs by as much as \$3 billion a year while increasing the risk of power outages by as much as 30 percent.¹⁴ The amendment also sparked major concerns internationally, especially among U.S. energy firms, which voiced fears about the stability of their previous investments. Ultimately, AMLO was unable to muster the political capital to move the initiative forward, as the lower house of Congress failed to reach the two-thirds supermajority needed to advance a constitutional amendment.¹⁵ The failure of the reform showcased hard limits on AMLO's power to drive sweeping legislative change in critical economic sectors, providing a greater degree of clarity for prospective investors and businesses.

However, the defeat of the energy reform amendment was far from an unmitigated victory for opponents. In April 2022, Mexico's Supreme Court issued an ambiguous decision on an earlier energy law that gave the CFE priority access to send its energy to the grid before foreign energy producers.¹⁶ Ultimately, AMLO's handling of energy policy impelled the United States and Canada to seek joint consultations under the USMCA in July 2022. Thus far, the question of energy policy has proved a thorny issue, with the specter of a dispute resolution panel raising lingering questions for Mexico's domestic industry and external investors alike. It also threatens to stall nearshoring momentum.

High energy prices coupled with the CFE's heavy dependency on oil for power generation mean companies struggle to obtain cost-effective power and meet their environmental, social, and corporate governance (ESG) targets while investing in Mexico. Furthermore, in the wake of the amendment's defeat, AMLO appears to have shifted his attention toward the nationalization of other industries. On April 17, the same day as the vote in the lower house, the president introduced a reform to the mining law to nationalize Mexico's lithium industry. The law was fast-tracked through Congress and approved just two days later.¹⁷

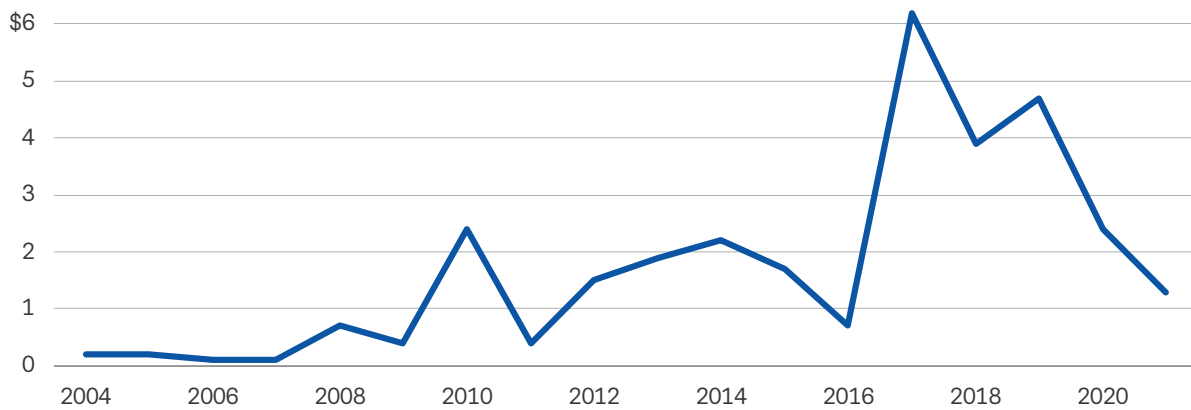
THE ENERGY OUTLOOK FOR 2024

The nationalization of lithium will likely set Mexico back in the transition to lower carbon emissions and the push for climate-smart energy solutions. When coupled with AMLO's hostility to foreign energy companies, many of which seek to invest in renewable power sources, Mexico has locked itself into a traditional carbon-and-oil energy strategy for the near future. Indeed, Pemex is a mainstay of AMLO's fourth transformation domestic project. Mexico's ability to diversify this strategy in 2024 will depend, in part, on the extent to which investor confidence can be restored by resolving Mexico's energy uncertainty through USMCA arbitration and the willingness of AMLO to strenuously oppose future foreign investments in the energy sector.¹⁸ Not only does this policy impair Mexico's ability to meet clean energy and environmental goals, it also reverses one of the most positive trends to come out of the 2013 reform, which prompted a windfall of investment in renewable energy industries.¹⁹ Lithium may buck this trend but only if the national lithium company proves capable of rapidly and efficiently scaling up production, an unlikely prospect as only one lithium mining project, the Chinese-owned Bacanora Lithium, appears to stand a realistic chance of beginning production by the end of 2023.²⁰

Another key concern in the near term is gasoline price stability at a time of rising global oil prices. While AMLO will likely do everything in his power to avoid a *gasolinazo* under his administration, his energy policies will become increasingly untenable over the medium and long term as the administration pours more funds into subsidized fuel. A deterioration of dispute resolution procedures under the USMCA will only exacerbate such a downward trend, potentially exposing Mexico to punitive tariffs and stifling necessary investment in sectors needed for the energy transition. Thus, AMLO may successfully stave off an energy crisis under his administration, but absent a significant course correction when a future crisis hits, it may produce even greater disruptions than those observed in 2017.

Figure 1: Investment in Renewable Energy

USD, billions



Source: Amy Stillman, “Mexican Green Energy Investment Drying Up, Trade Groups Warn,” Bloomberg, January 26, 2022, <https://www.bloomberg.com/news/articles/2022-01-26/investment-in-mexican-green-energy-drying-up-trade-groups-warn#xj4y7vzkg>.

Nearshoring Movements

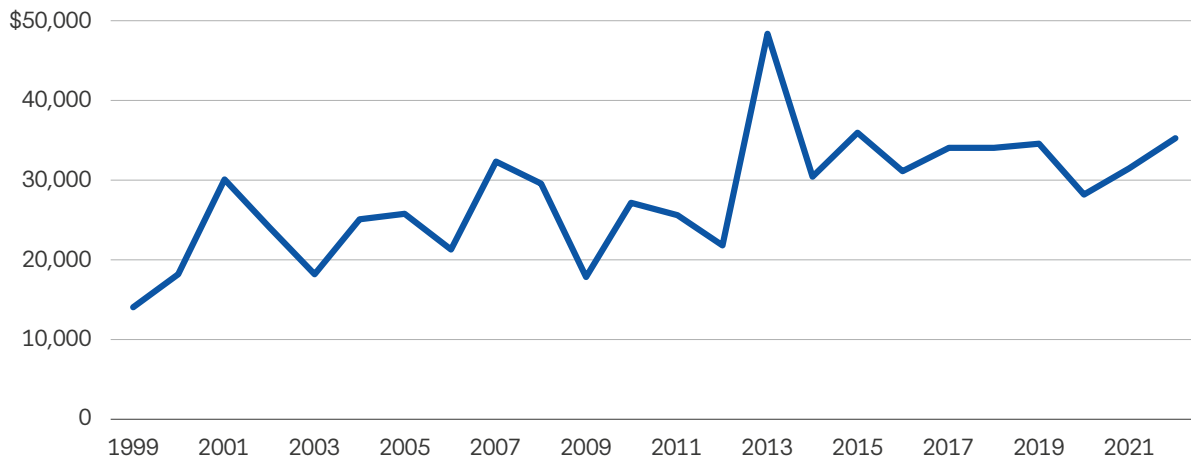
Trade tensions and the global economic disruption wrought by the Covid-19 pandemic have caused the U.S. economy to reduce its dependence on China. Enthusiasm has renewed in the United States and Mexico around the prospect of nearshoring industries, in effect relocating production, supply, and value chains from East Asia to the Western Hemisphere.²¹ Mexico is a natural choice to receive nearshored industries: it has the most sophisticated manufacturing base in Latin America, a modern free trade agreement with the United States in the form of the USMCA, and a 1,900-mile shared border that \$677 billion of goods cross each year.²²

However, realizing the potential of nearshoring requires more than favorable conditions. Countries must make a determined effort to convince companies to relocate to their shores. The Mexican government has yet to produce policy guidance or strategy documents outlining how it plans to approach nearshoring strategically. As a result, extrication of supply chains from China to Mexico has been more muted than expected. At the height of U.S.-China trade tensions under the Trump administration, Mexico’s sales to the United States rose by about 3.4 percent, not an insignificant amount but far from a windfall of growth.²³ Following the Covid-19 pandemic and ongoing supply chain struggles, this growth is expected to increase modestly but fall short of the promise of nearshoring without more substantial reforms and pro-business policies.

Exacerbating these concerns is Mexico’s precipitous decline as a destination for foreign direct investment (FDI). According to A. T. Kearney, Mexico has dropped out of the top 25 most attractive countries for FDI for the third consecutive year.²⁴ Investors cite a restrictive climate driven primarily by nationalization efforts in the oil and energy sectors. The deteriorating security situation throughout Mexico has also contributed to low investor confidence. Highway and railway robberies have increased under AMLO, imposing a combined economic toll of over \$10 billion a year.²⁵ Not only do resurgent criminal organizations make it riskier for companies interested in growing their Mexico-based operations, transport robberies further damage Mexico-U.S. supply chains and increase the risk that products from Mexico will never make it to their international destination.²⁶

Figure 2: Foreign Direct Investment to Mexico

USD, millions



Source: “Información estadística de la Inversión Extranjera Directa,” [Statistical information on foreign direct investment], Government of Mexico, data set, October 20, 2017, <https://datos.gob.mx/busca/dataset/informacion-estadistica-de-la-inversion-extranjera-directa>.

The U.S. decision on March 6, 2023, to press forward with USMCA consultations over AMLO’s plans to bar imports of certain genetically modified agricultural goods, especially corn, further clouds the nearshoring outlook. Mexico is now embroiled in not one but two dispute resolution processes covering the critical sectors of energy and agriculture. Furthermore, AMLO appears obstinate in both areas, limiting room for maneuvering and increasing the probability of consultations ending in a ruling by a formal dispute panel that Mexico seems unlikely to win.²⁷ Even an arbitral victory would likely become pyrrhic, as Mexico depends on the United States for 92 percent of its corn imports. Without a plan for substitution, Mexico could face a nearly \$12 billion drop in gross domestic product (GDP) and a loss of around 57,000 jobs.²⁸ In the meantime, these trade disagreements inject further volatility and dissuade needed investments. Reports that AMLO has discussed exiting the USMCA with his advisers when pushed by U.S. trade officials only add uncertainty.

However, Mexico’s digital and technology industry appears to have bucked these downward trends to an extent. Mexico is home to nine unicorns (technology start-ups valued at over \$1 billion), making it the one of the leading hubs for these types of tech companies in Latin America.²⁹ The USMCA chapter on digital trade may also be a boon to a technology-forward vision of nearshoring, with streamlined intellectual property and data privacy rules that can open the doors to greater venture capital access for Mexican companies.³⁰ Growing investments in the critical semiconductor industry are another bright spot following presidential-level commitments at the 2023 North American Leaders’ Summit (NALS) to develop a North American semiconductor corridor and cross-border semiconductor manufacturing hubs.³¹ This includes initiatives to build fabrication hubs, enhance transportation infrastructure, and cultivate technical exchanges between Mexican and U.S. universities—all promising trends that, with sustained support, could pay dividends for the overall North American economy.

THE NEARSHORING OUTLOOK FOR 2024

Nearshoring to Mexico will almost certainly continue as supply chains reorient to emphasize the local over the global. However, such progress will be made likely in spite of AMLO’s policies. While overall levels of FDI may be lukewarm, recent reports of growing investment in manufacturing space, office rentals, and industrial parks suggest

that businesses recognize how global trends and geographic advantages make Mexico an appealing destination regardless of hostility at the executive level.³² Further progress in the digital sphere also seems likely. The pandemic accelerated the switch to virtual platforms for many Mexican citizens, though wireless and internet penetration remains a serious shortcoming as roughly 35 million Mexicans still lack internet access.³³ However, without either a national nearshoring or credible security plan, Mexico will struggle to become a nearshoring powerhouse in many of the sectors where it has an established advantage, such as textiles, electronics, and machinery. As a result, optimistic rhetoric around the potential of Mexico to supplant China will likely remain out of reach by 2024, though a continued drive toward authoritarian control by President Xi Jinping in China and deterioration of U.S.-China relations will nevertheless prompt some businesses to consider relocation and still others to invest in Mexico as a means of building resiliency and redundancy into their supply chains.

Southern Mexico

Historically, southern Mexican states have lagged behind their northern counterparts in terms of economic development.³⁴ The reasons are varied, including lack of access to trade corridors along the border, low population density, and underinvestment at the federal level. President López Obrador, who himself hails from the southern state of Tabasco, has made one of his legacy-defining projects a reversal of this trend, aiming to unlock the economic potential of Mexico's south. He has done so through several social and development initiatives that link the south to neighboring Central American states, as well as infrastructure projects such as the much-vaunted (and much-maligned) Maya Train.

Turning first to AMLO's social investments, the López Obrador administration has touted the flagship programs *Sembrando Vida* and *Jóvenes Construyendo el Futuro* not only as solutions to domestic development challenges but also as Mexico's blueprint for aid to Central America.³⁵ Thus, while the programs have been implemented nationwide, they have heavily focused on southern Mexico and the Northern Triangle countries of El Salvador, Guatemala, and Honduras, where the government has reported 40,000 beneficiaries across both programs.³⁶ Within Mexico, *Sembrando Vida*, a program that gives rural farmers a stipend of 5,000 pesos a month for planting and caring for trees on their land, is intended to combat rural poverty and address ecological degradation. Meanwhile, *Jóvenes Construyendo el Futuro* aims to address youth unemployment by connecting applicants for the program with job training and apprenticeship programs while providing a monthly stipend of 3,600 pesos. Both programs claim over 400,000 beneficiaries throughout the country, with a focus on southeastern states.³⁷

While these initiatives have real potential if implemented successfully and accompanied by rigorous monitoring and evaluation, their effect in southern Mexico has thus far been ambiguous. According to one report from the World Resources Institute, *Sembrando Vida* in its first year of operation may have been indirectly responsible for the deforestation of more than 73,000 hectares across the states of Campeche, Chiapas, Tabasco, Quintana Roo, Veracruz, and Yucatán.³⁸ Recipients sought to maximize their monetary gains by cutting down forests to sell for timber before replanting these with seeds granted through the program. *Jóvenes Construyendo el Futuro* has gained a reputation as a tool to distribute political patronage. Indeed, one investigation found that in 17 out of the top 23 municipalities receiving funding under *Jóvenes Construyendo el Futuro*, more scholarships were distributed than there were individuals who met the criteria for enrollment in the program. Findings further revealed that municipalities with the highest rates of youth unemployment were often underrepresented in the program, raising complaints that program funds were allocated arbitrarily or even fraudulently.³⁹

Beyond social programs like *Sembrando Vida* and *Jóvenes Construyendo el Futuro*, López Obrador has sought to jump-start southern Mexico's economy through large-ticket infrastructure projects. These include initiatives

like the aforementioned Dos Bocas refinery in Tabasco, as well as the Maya Train. The train, which would cover nearly a thousand miles of track along Mexico's southern gulf coast, aims to link major tourist destinations and serve as an artery for commerce and cargo shipping. Another initiative, the Corredor Interoceánico del Istmo de Tehuantepec (CIIT), would update railways running from Salina Cruz, Oaxaca, to Coatzacoalcos, Veracruz, and link these with the Maya Train to increase rail coverage throughout southern Mexico.⁴⁰

With a planned start date in 2023, the Maya Train is estimated to cost around \$10 billion, a roughly 25 percent increase from projections when AMLO unveiled it in 2018.⁴¹ Vocal participation of Indigenous activists in protests against the train further muddies AMLO's framing of the project as a reclamation of Mexico's precolonial heritage, a theme he has consistently played up, including through a Mayan ceremony conducted at the train's staking.

When the train becomes fully operational, as early as December of 2023, it will likely deliver benefits for the economies of the regions located close to the train stations. Increased tourism, reduced travel times, and easier transport of goods facilitating nearshoring may all furnish benefits, with government estimates suggesting the project will generate net benefits for Mexico of \$10 billion and a 72 percent decrease in transport time for products along the route, compared to current means.⁴² However, these should be weighed carefully against the potential environmental risks and the possibility of leaving behind the poorest regions of southern Mexico and those most in need of updated infrastructure. Indeed, Chiapas, which is home to 6 of the 15 poorest municipalities in Mexico, is the location of just one stop on the train's route, while Oaxaca to the east, home to 8 of the 15, will not be included at all.⁴³ While the CIIT would theoretically service these states, the proposed industrial parks along the rail line have already drawn criticism from some local communities alleging they promote an outmoded and exploitative approach to economic development.⁴⁴

THE SOUTHERN MEXICO OUTLOOK FOR 2024

Southern Mexico may well grow economically, but the key question is whether this growth will be sufficient to keep pace with the rest of the country during the post-pandemic recovery. AMLO's social programs will likely continue to generate yields along the margins but cannot by themselves meaningfully address rural poverty, especially absent a more rigorous monitoring and evaluation scheme to address concerns of environmental degradation and political patronage. By 2024 the Maya Train will be operational in some form, which allows the government to claim it has achieved the goal within the established timeline. However, the train's security and efficiency, the broader tourism industry in Mexico, and the train's ability to act as a dual-use transit platform for manufacturing and industry remain major questions. There is greater potential, however, if AMLO's desire to link southern Mexico and Central America sprouts a more substantial economic policy than planting trees with Sembrando Vida.

At the moment, there are budding signs of a more intentional approach to development in southern Mexico. Mexico engaged closely with Guatemala to create a "border of opportunity," modernizing infrastructure through a number of transit hubs.⁴⁵ AMLO has also promised to enroll thousands of Guatemalan seasonal laborers typically employed in the agricultural sector into the Mexican Social Security Institute (IMSS), providing them with health benefits, pensions, and access to other social security benefits—a step that signals commitment to supporting economic development on both sides of Mexico's southern border.⁴⁶ Another effort that could have ramifications for economic opportunity in the south would be a revision of Mexico's broadband spectrum pricing scheme, which deters competition and is a major hindrance to internet access, especially in low-density rural areas.⁴⁷ Growing access to the internet would be in the interest of AMLO's Internet Para Todos strategy and grant new opportunities to thousands in southern Mexico.⁴⁸ However, the decision to pursue expanded internet access primarily through the CFE, which has no prior experience with broadband expansion, bodes ill for prospects of a digital revolution under AMLO's tenure.

State Capacity and Bureaucracy

The final aspect of AMLO's economic legacy is somewhat more nebulous to chart and includes a constellation of reforms, capacity-building efforts, and new special interests from within the federal government. Of all the economic shifts listed, these changes to the character and operations of Mexico's federal system are perhaps most likely to endure long after López Obrador leaves office.

Many of these developments are promising, especially in the realm of tax collection. Mexico's tax-to-GDP ratio increased by 1.6 percent between 2019 and 2020, no small feat given the massive disruptions caused by the Covid-19 outbreak.⁴⁹ Thus far, growth in tax revenues has been driven by a fairly modest tax policy, characterized by an increased focus on collection rather than real increases in taxes. These gains have allowed Mexico to deliver on a balanced budget with manageable levels of public debt in 2022.⁵⁰ Should Mexico adopt higher taxes in the coming years, this focus on increased state capacity will prove a boon for government revenues.

AMLO's spending policy during the height of the pandemic is also worthy of close consideration, as he broke ranks with many of his peers in the region. While several countries spent heavily on social programs during health-related lockdowns, Mexico was restrained. Indeed, the dramatic rise in social spending and the corresponding need to make up for sharp budgetary shortfalls has resulted in severe fiscal crises from Chile to Colombia, typically accompanied by major popular unrest. By contrast, Mexico's conservative stance allowed the government to avoid a significant primary deficit in the short term. However, this policy also came at a cost, as the country had a net loss of around 400,000 businesses in 2020.⁵¹ Coupled with an 8.5 percent drop in GDP during the pandemic, Mexico's recovery has proved slower than anticipated.

In 2022 the Mexican economy grew by 3 percent, outperforming pessimistic forecasts but ultimately falling short of what is needed to recoup losses, while 2023 promises even smaller growth rates. The consequences of AMLO's fiscal austerity have also fallen unevenly across the government, as López Obrador has systemically cut budgets and centralized agencies he views as hostile toward his political project. Perhaps the most notable instance involves the proposed cuts to the INE, which would have hamstrung the agency's ability to organize fair and competitive elections. However, AMLO's budgetary warfare has ranged broadly, including proposals to consolidate the functions of key transparency watchdogs like the National Institute for Transparency, Access to Information and Personal Data Protection (INAI) into the Secretariat of the Civil Service.⁵²

A final noteworthy development in Mexico's institutional landscape under López Obrador has been his efforts to systematically position the military in development and economic roles. The most notable instance of this came before AMLO assumed the presidency, when he helped organize a referendum against the proposed construction of the Mexico City Texcoco Airport. Subsequent responsibility for the construction and maintenance of a new international airport was handed over to the Secretariat of National Defense (SEDENA). Since then, the new airport has become AMLO's darling, despite repeated setbacks and concerns regarding adherence to international standards for operation.⁵³ The move not only saw the reshuffling of a major infrastructure contract into military hands but also will likely give SEDENA veto power over future development and infrastructure spending in and around the airport and Mexico City more broadly. Meanwhile, a state-owned company controlled by the Secretariat of the Navy (SEMAR) has been entrusted with rehabilitating hundreds of miles of rail lines, including the CIIT.⁵⁴

Delegation of infrastructure projects to the armed forces has met with resistance, both within SEDENA and SEMAR, as well as civil society and the opposition in Congress. Nevertheless, the awarding of these contracts is likely to create strong factions within the military in support of their expanded role, which may subsequently create a fearsome roadblock to future efforts at privatization. Lastly, recent legislation passed in a midnight

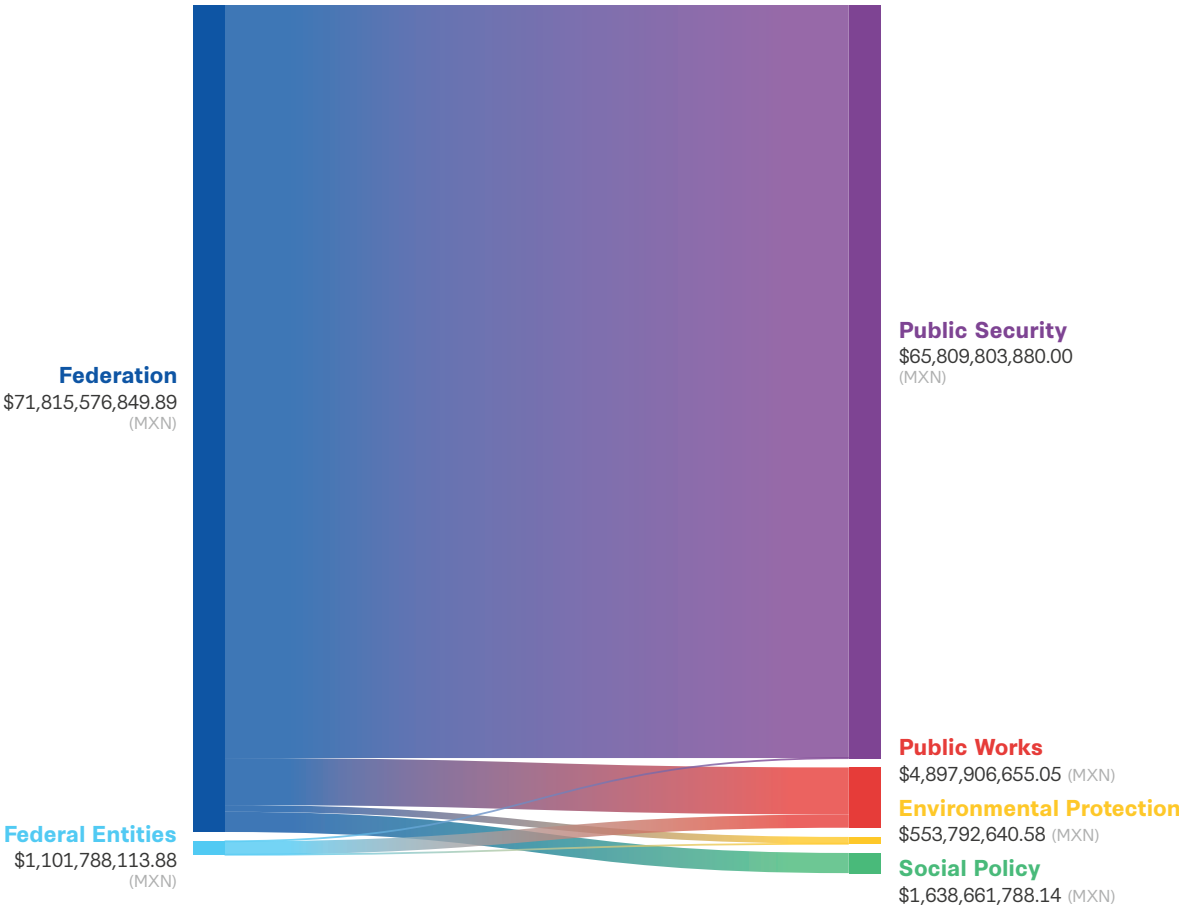
session of the Senate gives the army a portion of the country’s tourism tax to a company established by the army to run critical infrastructure such as the new airport and the Maya Train.⁵⁵

STATE CAPACITY AND BUREAUCRATIC OUTLOOK FOR 2024

Mexico appears headed toward a potential fiscal crunch.⁵⁶ While pet projects come and go, undone just as easily as they were conceived, the fiscal challenges they create are much harder to solve. Increased spending, especially on social (noncontributory) pensions, alongside reduced taxation on state-owned enterprises, especially Pemex, has resulted in a budgetary mismatch thus far allayed by impressive improvements in tax collection.⁵⁷ In all likelihood, López Obrador will seek to delay emergence of a significant primary deficit until after 2024. However, it seems equally unlikely he will take drastic steps to reverse course on fiscal policy by, for instance, significantly raising taxes or heavily rolling back social spending. AMLO’s signature projects have proved costly, and most have involved cost overruns. Thus, whatever successor government arrives in 2024 will have an even shorter timeline with which to make ends meet. An unexpectedly severe recession in the United States could further accelerate this timeline by dramatically reducing U.S. demand for Mexico’s manufacturing exports. Policymakers, however, will be assisted by a more competent tax authority, which may yet soften the blow.

Figure 3: Budget Transferred to the Armed Forces, 2018–2021

All figures are in MXN



Source: "Plataforma de Proyección de Datos Abiertos (PPData)," [Open data projection platform], Política de Drogas, <https://ppdata.politicadedrogas.org/#ppd.inm>.

The role of the military in spearheading infrastructure projects will present a similar question to a post-AMLO government. An opposition candidate would face new bureaucratic interests, especially in the transportation and logistics sectors, which may be viewed increasingly as the military's purview. More recently, AMLO's decision to order SEMAR to conduct a "temporary occupation" of a privately operated rail line along the Isthmus of Tehuantepec should be cause for even greater concern, suggesting a role for the military not merely in operating public infrastructure projects but also in the seizure and administration of heretofore private facilities.⁵⁸ If such moves become more commonplace, the militarization of Mexico's economy will only further weaken investor confidence and depress economic growth.

Significant questions remain as to how entrenched these interests will be by 2024 and what clashes may occur within the army and navy on matters of professional ethics and the role of the armed forces. If a successor from Morena helms the 2024 government and continues along the same course, they may empower an armed forces constituency for years to come. As such, the legacy of institutional decline and alteration will persist long after AMLO departs.

Security

Mexico's economic growth and opportunities are inextricably tied to its security environment.⁵⁹ Here the prognosis under AMLO and beyond 2024 appears bleak. Each year, Mexico experiences around 30,000 murders, which have risen to record levels during AMLO's mandate.⁶⁰ In 2021 the nation registered 34,000 homicides, double the number in 2015, while 2022 was the most violent year ever recorded by the National Public Security System.⁶¹ According to Bloomberg, Mexico remains home to eight of the world's most dangerous cities.⁶² Insecurity also characterizes the political scene: in the 2021 midterm elections, 100 political assassinations were reported, 35 of which targeted political candidates.⁶³ With a year and a half remaining in AMLO's term, homicides on his watch have already equaled those under his predecessor's six-year term and have surpassed by 22 percent the total during the six-year term of Felipe Calderón, the president whose war on drugs AMLO has derided. Simply put, AMLO's *sexenio* will be the bloodiest six-year term in Mexican history.⁶⁴

Violence associated with conflict against drug cartels claims most of these victims. López Obrador's "*abrazos, no balazos*" (hugs, not bullets) security policy has seen criminal organizations expand their control to claim up to 40 percent of Mexican territory.⁶⁵ With Mexico experiencing some of the highest levels of extortion, human trafficking, human rights violations, and femicides registered in the country's history, Mexico's situation under AMLO displays an alarming trend.⁶⁶ These patterns present no signs of slowing, as AMLO's security reforms have reduced public spending on security, muddled the citizen security landscape, and reduced cooperation with the United States on security and counternarcotics issues.⁶⁷



Members of the Mexican army drive on a road a day after an operation to arrest the son of Joaquín “El Chapo” Guzmán, Ovidio Guzmán, in Culiacán, Sinaloa state, Mexico, on January 6, 2023.

Photo Source: Juan Carlos Cruz/AFP/Getty Images

Organized Crime

Among the many challenges Mexico faces, organized crime remains one of the most complex and resilient threats the country has yet to find a successful strategy for addressing. In 2015 there were around 25 cartels recognized as major criminal groupings—or what the U.S. Department of Justice calls “well-articulated” criminal groups. By 2019 this figure had grown to 37, which is likely a significant underestimate.⁶⁸ In fact, independent observers identified the presence of up to 463 criminal entities on Mexican territory, explaining that criminal groupings have grown ever smaller following internal fragmentation and the intensification of violence as a result of the government’s targeting of kingpins.⁶⁹ At the same time, an underworld so fragmented and difficult to trace makes it even harder for political leadership to find adequate and effective measures to counter its activity, resulting in a vicious cycle. Some of these groups, such as Jalisco New Generation Cartel (CJNG) or the Sinaloa Cartel, are powerful enough to challenge the state, and the transformation and fragmentation they provoke either within or between each other often causes deadly episodes of violence.⁷⁰ Indeed, U.S. Drug Enforcement Administration (DEA) administrator Anne Milgram has stated that these two groups pose “the greatest criminal threat” ever faced by the United States.⁷¹

During the pandemic, the role of criminal groups became twofold. On the one hand, they exacerbated insecurity as violent attacks on civilians and battles with other groups continued apace. On the other, criminal groups complemented, or in some cases took on, the role of the state by distributing food and aid and imposing a curfew to limit the spread of Covid-19. This was the case for the Sinaloa Cartel, which distributed “Chapo dispensas,” or boxes of supplies with erstwhile cartel leader Joaquín “El Chapo” Guzmán’s face emblazoned on them.⁷² Government restrictions on mobility and tighter border controls also affected their activity, and as a result new channels of criminality arose, such as cybercrimes, which are harder for authorities to detect.⁷³ High profits and low risks for activities such as fraud, piracy, and cybertheft quickly attracted drug cartels and generated

revenue comparable to drug trafficking. Initially lacking the know-how, criminal groups forced programmers to collaborate or solicited the help of corrupt Mexican officials and police who sold or passed them spyware for a share of the profits.⁷⁴

The inflationary pressures that followed Russia's invasion of Ukraine also presented new opportunities for the cartels to diversify and expand their activities.⁷⁵ Organized criminal groups' illegal economic activity covers a range from narcotrafficking of coca, marijuana, opioids, and synthetic drugs such as fentanyl, to oil theft, human trafficking and smuggling, and the water market. The latter, called *aguachicol*, consists of stealing great amounts of water for drug cultivation, leaving poor communities without it, and undermining an already fragile water environment.⁷⁶

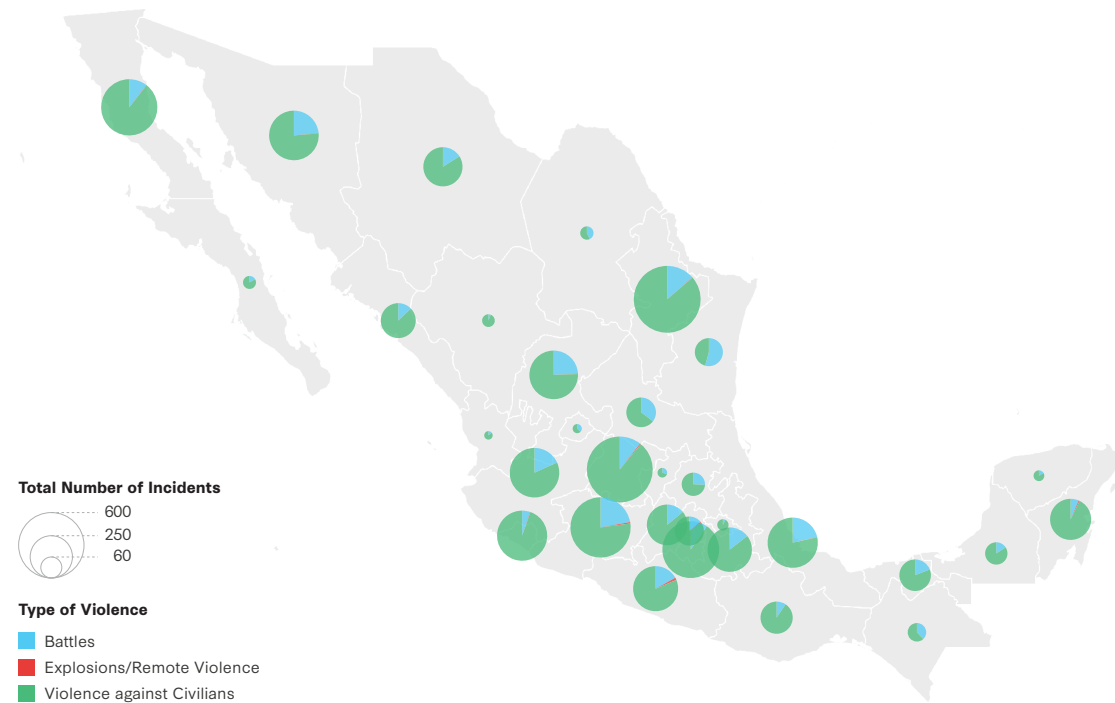
Escalation of violence and criminal activity by organized groups, together with high levels of impunity have also driven an astounding number of disappearances, another of Mexico's major problems. Amnesty International has identified at least 105,000 disappearances and has found 51,000 unidentified bodies buried in mass graves.⁷⁷ Recognizing the difficulty in dealing with such an issue, with more than 36,000 disappearances on the National Search Commission list during his mandate, AMLO authorized a visit from the UN Committee on Enforced Disappearance in 2020.⁷⁸

Criminal groups also often penetrate local, state, and national politics to influence campaigns and elections.⁷⁹ Benefiting from absence of government control and an underresourced INE, cartels have engaged in buying candidacies and meddling in the political process until the candidate takes office.⁸⁰ Criminal organizations were also behind the murder of political candidates in the 2021 midterm elections and in municipal elections around the country.

López Obrador has been criticized for capitulating to the Sinaloa Cartel in the country's security operations. In 2019 Ovidio Guzmán López, one of "Los Chapitos," the sons of El Chapo, was arrested only to be released following a campaign of violence by the cartel known colloquially as the Culiacanazo.⁸¹ The cartel interpreted the release as a sign of weakness from state authorities and a green light to continue their illegal activities. AMLO also visited El Chapo's mother in Sinaloa—a highly unusual act for a president, or any political figure for that matter, to do openly. In January 2023 El Chapito was arrested again and has been held in a maximum-security facility in Mexico City. How AMLO handles the U.S. extradition request will have repercussions on the illegal activities of the cartel as well as a security partnership that has been rocked by a series of previous high-profile criminal cases.

AMLO's actions during the General Salvador Cienfuegos debacle, in particular, gave rise to major questions about his commitment to security and anti-corruption efforts. The combination of intense pressure to repatriate Cienfuegos following his arrest in the United States on charges of colluding with organized crime and his subsequent acquittal contributed to a serious loss of confidence in U.S.-Mexico security cooperation efforts.⁸² Finally, the process against Genaro García Luna, head of the Federal Ministerial Police and Mexico's Secretariat of Public Security, who was accused of collaboration with drug traffickers, could have a peculiar political influence. In 2023 a U.S. court found García Luna guilty of secretly receiving millions in bribes. Although the conviction is unlikely to implicate other top law enforcement officials indicted alongside him, the outcome of the trial could have an impact on the 2024 elections by hurting the conservative National Action Party (PAN), of which García Luna was a member.⁸³ Nothing about the verdict will curb the spread of drug trafficking or address the cartels' bloodshed in the country.

Figure 4: Criminal Political Violence in 2022



State	Battles	Explosions/Remote Violence	Violence against Civilians	Total
Aguascalientes	3	–	5	8
Baja California	46	1	394	441
Baja California Sur	3	–	15	18
Campeche	10	–	53	63
Chiapas	16	–	26	42
Chihuahua	34	–	178	212
Ciudad de México	16	1	96	113
Coahuila	9	–	12	21
Colima	18	1	333	352
Durango	1	–	16	17
Guanajuato	66	3	556	625
Guerrero	48	5	231	284
Hidalgo	18	–	52	70
Jalisco	63	–	282	345
México	32	–	196	228

Michoacán	113	4	394	511
Morelos	44	–	418	462
Nayarit	1	–	6	7
Nuevo León	87	1	555	643
Oaxaca	13	–	125	138
Puebla	40	–	236	276
Querétaro	3	–	7	10
Quintana Roo	15	2	218	235
San Luis Potosí	41	–	75	116
Sinaloa	21	–	142	163
Sonora	80	1	261	342
Tabasco	26	–	110	136
Tamaulipas	57	–	48	105
Tlaxcala	1	–	13	14
Veracruz	75	1	277	353
Yucatán	2	–	10	12
Zacatecas	81	1	253	335
Total	1,083	21	5,593	6,697

Source: Andrea Carboni and Clionadh Raleigh, “Administering Violence: An ACLED Special Project on Violence Targeting Local Officials,” Armed Conflict Location & Event Data Project (ACLED), June 22, 2023, <https://acleddata.com/2023/06/22/special-issue-violence-against-local-officials/>.

THE ORGANIZED CRIME OUTLOOK FOR 2024

Violence resulting from conflicts between organized crime and state authorities have only increased under AMLO’s mandate, indicating a very pessimistic scenario for the country. Lack of a clear majority in the 2024 national elections could further affect the activities of criminal groups through the emergence of new groups and battles for control of political forces.

In particular, CJNG, Mexico’s strongest criminal group and one of the most prolific in the world, has potential to develop even further. Although it has not been powerful enough to challenge all the threats to its rule, it has shown great adaptability and resilience, as evident in its rapid spread throughout Mexico.⁸⁴ The Sinaloa Cartel, at the same time, will probably work to increase its power in an attempt to counterbalance CJNG. This splintered landscape points to a lack of prospects for anything resembling a Pax Mafiosa enforced by a single predominant criminal actor.⁸⁵ Indeed, conflict between various criminal factions appears set to increase and catch thousands of innocents in the crossfire.

Drug traffickers will adapt to new needs, diversify, and expand their activities to strategic regions, hoping to get control of supply chains and ports critical for receiving materials from Asia. In addition, climate change and

increasing droughts will continue to make *aguachicol* a central phenomenon for illegal activities of organized crime groups. Finally, as long as demand for drugs does not decline and Mexico does not find a more effective strategy, it is hard to imagine cartels' activity will substantially diminish after AMLO. On the contrary, the consequences of AMLO's policies, which have fueled violence, will be difficult to erase in the short term.

Human Security and Human Rights

Increased activity and territorial control by drug cartels and excessive militarization by the government have created mounting challenges for Mexican citizens, especially for vulnerable populations, including women, LGBTQ+, and Indigenous communities. Conflicts between the state and criminal groups or between different cartels often involve collateral damage and produce effects on public security, spreading fear and a sense of danger. Corruption that favors the illegal trafficking of drugs and other substances permeates different levels of society, including the judicial system, resulting in a persistent climate of impunity. Insecurity also affects freedom of expression, limiting critiques and silencing, often brutally, activists and anti-corruption campaigners.

Mexico is one of the most dangerous countries in the world for human rights defenders and journalists, on par with Syria, Afghanistan, and war zones.⁸⁶ In 2022 the United Nations Educational, Scientific, and Cultural Organization (UNESCO) reported 19 deaths of journalists in Mexico, while the Federal Special Prosecutor's Office dealt with 3,362 investigations of crimes against journalists in 2021.⁸⁷ Of these investigations, only around 25 led to convictions.⁸⁸ The Committee to Protect Journalists registered 2020 as the worst year for journalists in Mexico: they received over 692 threats and attacks, and the trend line since has shown little improvement.⁸⁹

Despite commitments to gender equality and nondiscrimination after Mexico became the first country in Latin America to adopt a feminist foreign policy for 2020–24, women in Mexico are facing severe difficulties in seeing their rights fully recognized.⁹⁰ The promotion of gender equality abroad in Mexican foreign policy contrasts with alarming domestic statistics regarding women's rights and security. On the one hand, a historic 2021 court ruling decriminalized abortion.⁹¹ But, on the other, with lockdown policies put in place during the Covid-19 pandemic, violence against women grew exponentially.⁹² This led the United Nations to declare a "femicide pandemic" in Mexico, as murders of women reached a daily average of 11 in 2021. In the same year, 3,700 women were killed, 887 of which were recognized as femicides. In 2020 the number was even higher, with 1,000 femicides recorded.⁹³ These astronomical numbers are paired with a lack of investigation and justice, as well as the stigmatization that victims of gender-based violence and their families often face, contributing to an environment of insecurity, impunity, and discrimination.

Figure 5: Female Homicides and Femicides

Year	Female Homicides	Femicides	% of Female Homicides Identified and Femicides
2015	2,161	427	19.80%
2016	2,835	648	22.90%
2017	3,301	766	23.20%
2018	3,678	919	25.00%
2019	3,844	969	25.20%

2020	3,776	976	25.80%
2021	3,766	1,017	27.00%
2022	3,775	968	25.60%

Source: Executive Secretariat of the National Public Security System, “Datos Abiertos de Incidencia Delictiva,” [Open crime incidence data], Government of Mexico, June 13, 2023, <https://www.gob.mx/sesnsp/acciones-y-programas/datos-abiertos-de-incidencia-delictiva?state=published>.

Along the same lines, Amnesty International identified Mexico as the country with the second-highest number of attacks against members of the LGBTQ+ community.⁹⁴ In 2021 the National Observatory of Hate Crimes recorded at least 72 killings and disappearances of LGBTQ+ persons.⁹⁵

On paper, AMLO embraced feminism as a guiding principle of his mandate, but in practice he has been vocal and active not only in criticizing women’s and LGBTQ+ protests but also in repressing them with tear gas, arbitrary detentions, and violence aimed at preventing more people from joining the movements. The government has cut funding both for public shelters for gender-based violence victims on accusations of corruption, without evidence, and for national women’s institutes and national initiatives that have tried to protect women, especially in marginalized communities, such as Indigenous women.⁹⁶ Furthermore, AMLO has sought to claim that Mexico’s femicide challenge stems from the country’s past adherence to neoliberal policies. Despite his rhetoric, his actions suggest not only that the protection of women and LGBTQ+ rights is very low on his agenda but also that, on the contrary, his actions and policies have even intended to undermine a system that was already suffering.

THE HUMAN RIGHTS OUTLOOK FOR 2024

The weaknesses of Mexico’s justice system make the path forward difficult. Lack of resources, endemic corruption, unwillingness to tackle impunity, and the complicity of state authorities in human rights abuses highlight that the situation is complex and difficult to disentangle.

The impact is twofold: On the one hand, perpetrators not duly investigated, processed, or charged for their crimes continue to pursue their activities with impunity. On the other hand, victims who do not receive justice continue to feel the psychological, economic, and social impact of what they have experienced.⁹⁷ This creates a cycle that only exacerbates human insecurity within the country. Unfortunately, without a change in political will to focus on addressing and improving the justice and asylum systems and on protecting human rights, and in light of the alarming data regarding human rights violations in Mexico, the outlook through, and even after, 2024 remains bleak. Human rights and protection of vulnerable populations do not seem to be a priority for the 2024 candidates. Indeed, AMLO has shown that the proper rhetoric can stand in for genuine policies to improve human rights protections. It is possible, but unlikely, that pressure from the international community, especially close economic and interdependent partners, together with continuous agitation from civil society organizations could play a role in encouraging Mexican leaders to tamp down on abuses.

Reorganization of the Security Sector

A consistent theme in AMLO’s leadership to date has been the mismatch between rhetoric and practice. AMLO’s electoral campaign proclaimed the end of the Mexican army’s involvement in citizen security, with the aim of making Mexico a pacifist country. Yet AMLO has dutifully cultivated the armed forces’ loyalty while in office. He increased the army budget by 22 percent and the budget for the marines by 17 percent, and he let the Mexican

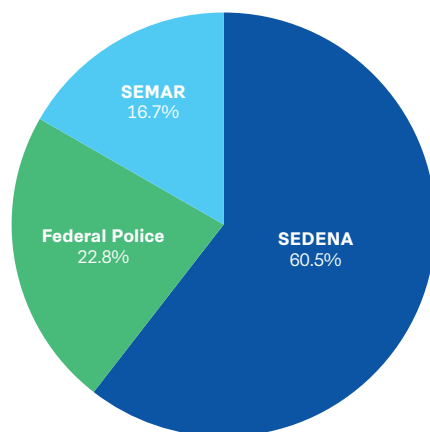
army, navy, and the new national guard lead most of the country’s antidrug operations.⁹⁸ He has also placed people of confidence in leadership positions and diverted resources from other activities to the armed forces.

AMLO’s goal when he came to office was to transform the security forces and establish a national guard, a body with civilian command that would merge the military and the federal police and serve to target organized crime and violence. In practice, the force has remained a de facto auxiliary military unit, with 76 percent of its 115,000 members drawn from either SEDENA or SEMAR.⁹⁹ In 2021 Mexico’s Senate formally acknowledged the national guard’s military ties, incorporating the force under the Ministry of Defense in September 2022.

AMLO has faced criticism for the inherently contradictory approach of strengthening militarization in Mexico without evidence it would result in more efficient management of public security and reduce violence.¹⁰⁰ Such critiques have not stopped him from deploying the national guard on the U.S.-Mexico border to deal with migration, raising concerns from several human rights bodies over the excessive power concentrated in the hands of the armed forces.

In 2020 AMLO passed a decree that allowed the national guard to patrol the streets of Mexico until the end of his mandate. A 2022 vote in the lower house extended the decree to 2028 through a constitutional amendment revealing AMLO’s intent to authorize the use of the military into his successor’s mandate.¹⁰¹ Once more, the opposition condemned the move, but to no avail.¹⁰²

Figure 6: Origins of National Guard Personnel



Source: “Censo Nacional de Segura Pública Federal” [National census of federal public security], Mexican National Institute of Statistics and Geography (INEGI), December 16, 2022, <https://www.inegi.org.mx/app/saladeprensa/noticia.html?id=7878>.

Mexico’s reliance on the army for internal security has also resulted in scandals and public outcry. For instance, in March 2022, two additional army units were deployed in Nuevo Laredo, ostensibly to bring down rising levels of violence. Yet human rights activists quickly denounced the move, citing armed forces attacks against civilians who had nothing to do with organized crime.¹⁰³ A similar episode occurred in 2021 when the national guard mistakenly killed a mechanic of Nuevo Laredo and tried to cover up the error by offering money to his widow.¹⁰⁴ SEDENA and the new national guard are listed among the 10 government bodies “most frequently named in the disciplinary proceedings for presumed human rights violations.”¹⁰⁵

Such incidents are not limited to the armed forces. In September 2019, police announced they had killed gunmen from the Northeast Cartel, but victims’ families revealed the police had actually murdered civilians not involved in drug trafficking.¹⁰⁶ Moreover, in 2021 a police unit was charged with the massacre of 19 migrants in the desert.¹⁰⁷

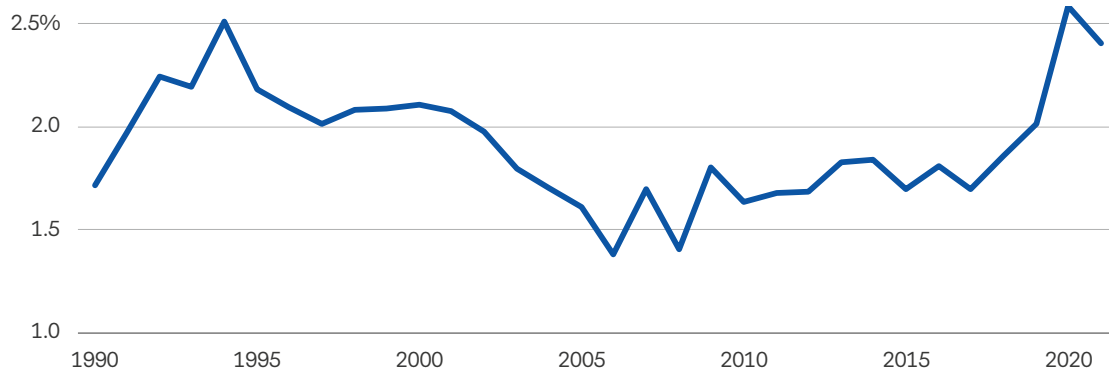
Indeed, these episodes constitute further human rights violations that contribute to an environment characterized by insecurity and impunity. Corruption, complicity of public officials, and insufficient training and resources mean that only 10 percent of crimes are reported and less than 16 percent of investigations are solved.¹⁰⁸

THE SECURITY REFORM OUTLOOK FOR 2024

Constitutional changes that allow the military to patrol the streets and handle public security until 2028 have already determined Mexico's security outlook for 2024 and beyond. The growing militarization of the country under AMLO, accompanied by more violence and less security, is regrettably AMLO's most enduring policy.¹⁰⁹ Subsequent governments will have to either accept this trend or actively seek to reverse it, fighting the powerful security bureaucracies with their vested interests. It is also likely that even if the opposition were to take the presidency in 2024, a militarized approach would still be necessary to present a frontal challenge to the entrenched criminal groups acting on the ground.

Perhaps for this same reason, the security reform has influenced, and will likely continue to influence, politics. The opposition blocked a constitutional reform to establish the national guard until the Institutional Revolutionary Party (PRI) decided to side with AMLO, breaking the stalemate and deceiving PAN. Although PAN and PRI have announced their commitment to run together in the 2024 elections, such episodes of disagreement and disunity undermine the opposition's chances of success and suggest that security reform and organization could prove a wedge issue for the opposition coalition.

Figure 7: Defense Spending as a Percentage of Government Expenditures



Source: Stockholm International Peace Research Institute, "Military Expenditure (% of GDP) – Mexico," World Bank Data, <https://data.worldbank.org/indicator/MS.MIL.XPND.GD.ZS?locations=MX>.

Politics

The election of López Obrador in 2018 revealed a country whose citizens are highly polarized and dominated by strong feelings of disillusionment with the political establishment. Building an anti-corruption, anti-neoliberal economic discourse while avoiding firm positions on controversial issues such as gay marriage or abortion rights, AMLO managed to appeal to voters across a wide range of political orientations.¹¹⁰ Once in power, however, he used the excuse of combating corruption to justify his need to fully command the government and wield more power than his predecessors.¹¹¹ Who will occupy the Palacio Nacional in 2024 remains an open question, but regardless of the outcome, AMLO's attacks on democratic institutions, the dynamics of the Morena party and the opposition, and U.S.-Mexico relations will heavily shape both the campaign and post-campaign environments.

Attacks against Democracy

AMLO's style has steadily become more populist, and his attacks against independent democratic institutions built over the past 30 years have led Mexico down a perilous route. Especially concerning has been his weaponization of anti-corruption rhetoric in Mexico, the crutch that supports many of his most controversial political projects.

His strategy to silence critics and avoid checks and balances has broken institutions, cutting their budgets and placing loyalists in key positions of power. The INE, the Federal Economic Competition Commission (COFECE), and the INAI have all seen their budgets slashed.¹¹² The proposal for the 2023 budget published in November 2022 fit this trend. It cut the INE's budget by nearly 4.5 billion pesos, the INAI's by 18.6 million, and the COFECE's by 33.5 million.¹¹³ In the case of the National Human Rights Commission (CNDH), the controversial election of Rosario Piedra Ibarra, who openly supported AMLO's political projects, as its head raised concerns over the extent to which the commission could remain silent over human rights violations committed by the military and simultaneously

operate independently from the government.¹¹⁴ Piedra spoke in favor of AMLO's electoral reform, explicitly showing how the commission is politically aligned with AMLO and how its autonomy has been compromised.¹¹⁵

Along the same lines, AMLO has denied human rights abuses and has directly attacked nongovernmental organizations, human rights defenders, women's organizations, civil society movements, the media, and genuine anti-corruption initiatives.¹¹⁶ Some of his actions have undermined the government's division of powers, verging on illegality and unconstitutional action. These include his appointment of finance ministers before going through the appropriate legislative procedure, weaponization of the judicial branch by threatening professors and scientists with incarceration, organizing unlawful press conferences in support of his political party during the referendum campaign, and using tax authority and never-ending audits to suppress corruption investigations.¹¹⁷

One of the most recent examples of blatant democratic backsliding is the electoral system reform AMLO continued to push for in an effort return to a time when the party in power controlled the electoral process.¹¹⁸ After he abandoned his initial reform proposal due to lack of consensus in the Chamber of Deputies, AMLO devised Plan B, which required only a simple majority for approval. This second proposal still reduced the size of the organization, removed powers from the electoral arbiter limiting its ability to enforce electoral laws, and softened sanctions for political parties. The plan was fast-tracked for approval in November 2022, undermining thorough analysis and discussion and circumventing the opposition almost entirely.¹¹⁹ The speed and coordination with which the reform came into being led many to conclude it had been AMLO's plan all along. On February 22, 2023, the plenary of the Senate approved the electoral reform without an eternal life clause, an article that allows the transfer of votes between parties forming a coalition in order to prevent the disappearance of parties with little electoral strength, which struggled to find consensus.¹²⁰ Indeed, the electoral reform seems to have come as the most brazen of AMLO's attacks against democracy, perhaps in an attempt to make the political context more favorable for the election of his preferred successor in 2024. This has, in turn, provoked a forceful reaction among Mexican civil society, as there is unanimity among academics, businesspeople, and political analysts that Mexican democracy rarely has sunk so low.¹²¹

Not only did the electoral reform engender massive protests, but it also helped the opposition fully unify for the first time since the beginning of AMLO's mandate, bringing his approval rating to the lowest level since he came to office.¹²² Popular pushback has been accompanied by resistance by some institutions remaining faithful to democratic principles. First among these is the Supreme Court. In April 2022 AMLO organized a referendum on the president's adequacy to remain in charge until the end of his mandate.¹²³ Surprisingly, the court ruled in favor of the referendum regardless of the extremely low budget AMLO allocated to conducting it adequately. Nevertheless, the Supreme Court demonstrated independence and eventually deemed the referendum invalid, declaring it undermined democracy by directly affecting citizens' participation in the political process.¹²⁴

Furthermore, the opposition welcomed the appointment of Chief Justice Norma Lucía Piña Hernández in early January 2023.¹²⁵ As she did not belong to AMLO's entourage, her election came as a positive sign for Mexican democracy. She is the first female chief justice and a supporter of the court's independence and of human rights, especially women's rights.¹²⁶ Together with other justices, many of whom have been criticized for siding with AMLO, she will review numerous pieces of legislation challenged by the opposition currently sitting before the court, including the decree extending the militarization of public security.¹²⁷ Justice Alberto Pérez Dayán suspended the first part of AMLO's Plan B from entering into effect in the states where the electoral process had already begun (Coahuila and State of Mexico). The court's decision was subsequently validated as the INE organized two remarkably successful and transparent elections on June 4, demonstrating its continued trustworthiness and relevance.¹²⁸ The INE won further victories. In late June, the Supreme Court invalidated important parts of Plan B. In response, AMLO promised to double down on Plan C, and promised to continue with his proposed constitutional

reform that would allow the general public to elect judges and magistrates, in light of his belief that the judiciary represents opposition and conservative interests.

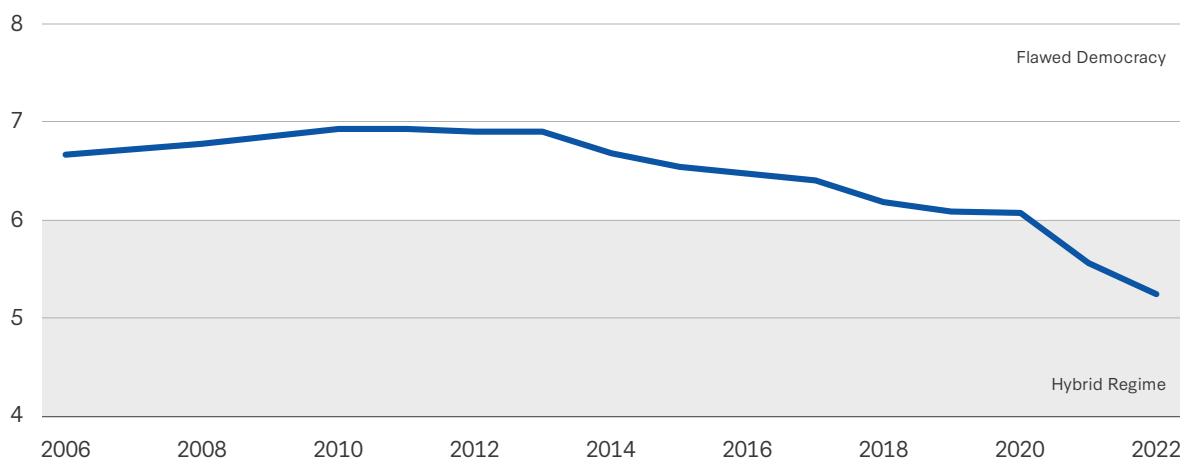
Most recently, AMLO ordered senators to hold a session in a separate chamber to exclude the opposition. At this unconstitutional session, the Senate passed 20 reforms in five hours on all manner of topics, including new mining regulations that effectively shut down the industry in Mexico, ceding control and a majority of revenues from the Maya Train and airports to the Mexican army. Senators also established a new tourism agency, 80 percent of whose fees would be allocated to the army. Many of the reforms, which included several constitutional changes, run afoul of the USMCA. Such blatant violation of democratic procedure was evident in pictures from the scene, which featured senators voting in the middle of the night on legislation they had not read, seated at plastic picnic tables without microphones.¹²⁹

THE DEMOCRACY OUTLOOK FOR 2024

With the end of term of the INE's 11 commissioners in 2023, AMLO will likely want to appoint more members loyal to him to further reduce the independence of Mexico's electoral system.¹³⁰ Some analysts fear that if the appointment is brought to a successful conclusion, together with the reform of the electoral process, Mexico's democratic institutions will be further weakened, and the nation might not have free and fair elections in 2024.

AMLO is dedicated to ensuring his preferred candidate is elected and continues his political agenda. In fact, he has even entertained ideas of breaking the cardinal rule in Mexican politics and standing for a second term.¹³¹ Resistance by the opposition and the population plays a pivotal role in checking AMLO's extension of power and his impact on democratic institutions. An even more crucial position is that of the Supreme Court, called to officially demonstrate its independence by voting on the constitutionality of Plan B, which is expected to take place by June. This will continue to be key, especially as the 2024 electoral campaign gets closer and the Mexican social, political, and economic context becomes more fragile.

Figure 8: Mexico's Democracy Index Score over Time



Source: Economist Intelligence Unit (EIU), *Democracy Index 2022* (EIU, 2022), <https://www.eiu.com/n/campaigns/democracy-index-2022/#:~:text=Indicators,political%20participation%20and%20political%20culture>.

On May 18, 2023, the Supreme Court denied AMLO's claim that the permitting process for pet projects like the Maya Train could be expedited because they represented matters of "national security." Mere hours after the verdict was handed down, a near-identical order was announced, redesignating the Maya Train, along with

several other initiatives, as vital to national security.¹³² This incident suggests AMLO will not sit idly by in the event his electoral reforms flounder in the courts, and he may attempt a similar maneuver to keep some or all of Plan B in place.

Elections and Party Dynamics

AMLO's populist, antiestablishment rhetoric helped lead the Morena party to victory in 2018. For the first time, PRI, PAN, and the Party of the Democratic Revolution (PRD) combined obtained only 40 percent of the vote, compared to their previous 90 percent share.¹³³ Morena has benefited from incredible popular support since, though signs of decline began to emerge in the 2021 midterm elections.

The midterm elections decreased Morena's supermajority to an absolute majority, which was interpreted by many political analysts as positive for Mexico.¹³⁴ In fact, the elections were marked by high attendance at polls and absence of fraud and violence. More than half of the population voted against Morena, suggesting the desire for more options and willingness to support democracy.¹³⁵ Although Morena won most gubernatorial races, the opposition made significant gains in the Chamber of Deputies.¹³⁶ This came as a wake-up call for the opposition, revealing its potential to represent an alternative to Morena if unified in a coalition. Even if Morena won more representatives, it lost in bigger cities, which might indicate a decrease in support within the middle-class electorate it used to appeal to. Following AMLO's repression of feminist protests, the women's electorate also turned on him, another sign of emerging disillusion with Morena that could have repercussions in future elections.

On April 10, 2022, AMLO held the first recall referendum in the history of Mexico. Both Morena and the president campaigned in favor of the referendum and AMLO remaining in charge but reduced the budget of the INE for carrying out such a referendum from 18 million pesos to 4 million. The lack of a clear legal framework; the opacity of the referendum's text, whether in favor of or against AMLO; the budget scandal; and the illegal active participation of the political party involved in the organization of the referendum affected its legitimacy and citizens' participation. Less than 20 percent of the population voted, which undermined the referendum's legality, as it required a threshold of 40 percent to be constitutionally valid.¹³⁷ Further, 91.86 percent of those who voted expressed support for AMLO, who considered it a major victory. His reaction to the results also led many to speculate about his hidden intent to use the referendum as an instrument to prolong his mandate after 2024.

In 2023 AMLO's approval rate remained around 60 percent, according to most opinion polls.¹³⁸ Evidently, many are still attracted to AMLO's welfare program and direct contact with citizens through his *mañaneras* (daily press conferences), seduced by his narrative of helping the poor against corruption and the elites. Many revere the president's personal austerity and common touch. Others have instead realized that the state of the Mexican economy and security is far worse now than before AMLO came into office and that his welfare program conceals cuts to healthcare and education and presents financial irregularities, with evidence of corruption and wasted resources.¹³⁹

In the context of fast-approaching presidential elections, AMLO's goal is one of maintaining popularity and ensuring his party remains in power after he finishes his mandate. His challenge lies in institutionalizing the party and forging a stable path for succession, while convincing the polarized electorate that Morena still incarnates the alternative to the political establishment. As of writing, Morena had not yet chosen its official candidate for 2024, but two figures had emerged as the most likely to replace AMLO.¹⁴⁰

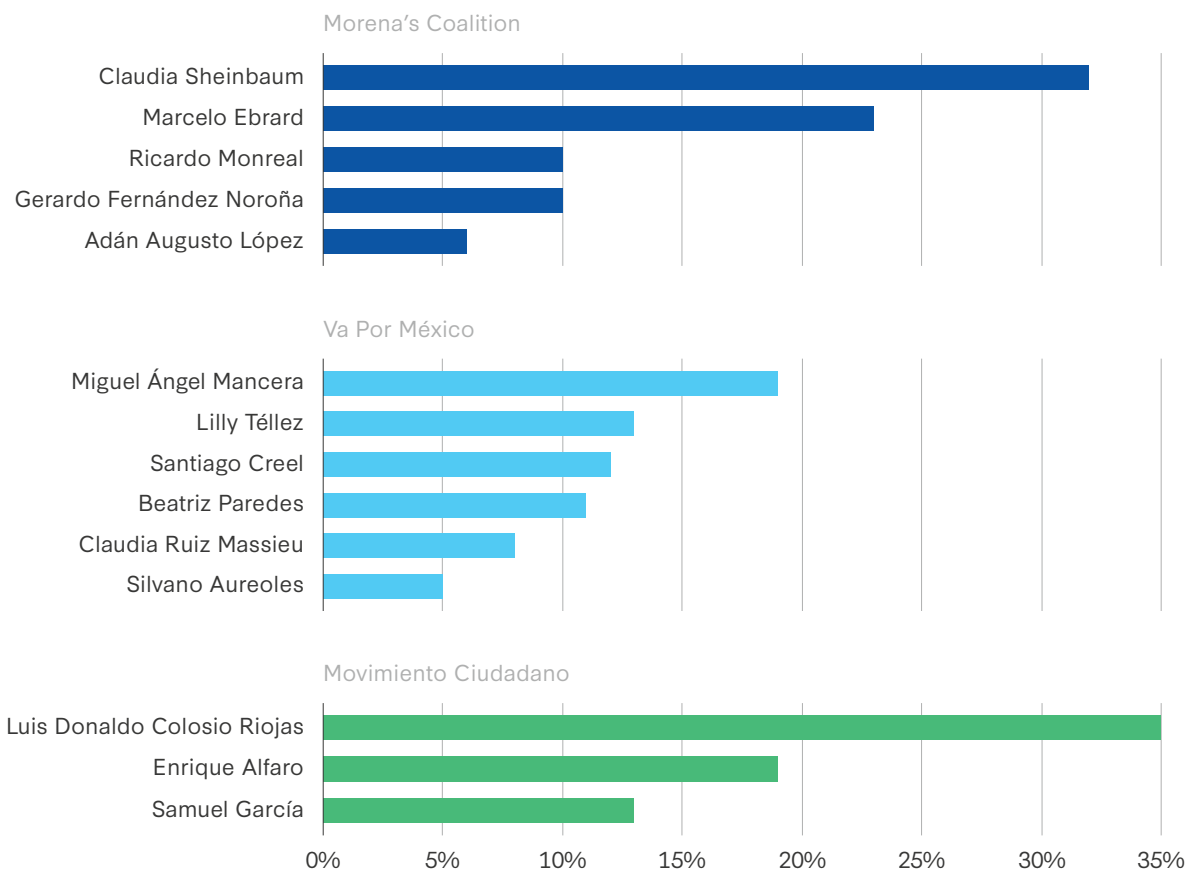
Claudia Sheinbaum, current mayor of Mexico City, is AMLO's favorite and the most likely to continue his agenda and style. However, her support, even within Morena's electorate, is hampered by scandals, accidents,

and criticism of her management of the public transportation system in the Mexican capital.¹⁴¹ She could appeal to AMLO's base but would likely struggle to reunite those who are disillusioned with Morena and are starting to look for other options.

Marcelo Ebrard, current minister of foreign affairs, is seen as the preferred candidate among Morena supporters.¹⁴² He is perceived as a competent figure both within and outside Morena and is more independent from AMLO than Sheinbaum. He could easily appeal to the middle class and convince a broader electorate.¹⁴³ If he is not chosen as Morena's candidate, he may run as an independent candidate, which would make the 2024 electoral campaign even more dynamic.

AMLO has also indicated a few other candidates are fit for pursuing his political project: Adán Augusto López Hernández, secretary of the interior, and Senator Ricardo Monreal Ávila.¹⁴⁴ Given there is no established mechanism for party primaries, AMLO seems to prefer a set of opinion polls that will make it easier to vote for Sheinbaum, even though such a procedure may trigger questions about transparency and lead to one of the candidates running as an independent.¹⁴⁵ Neither candidate, however, possesses the same charisma and personal touch as AMLO, meaning Morena's narrative could still shift away from AMLO's.

Figure 9: Potential Candidate Approval Ratings among Party Members



Source: Jorge Buendía, "Encuesta: Morena sigue adelante y gana con cualquier corcholata" [Poll: Morena remains ahead and wins with any aspirant], *El Universal*, May 5, 2022, <https://www.eluniversal.com.mx/nacion/encuesta-morena-sigue-adelante-y-gana-con-cualquier-corcholata/>.

Morena has also benefited from the opposition not yet forming a cohesive alternative for Mexican citizens. The opposition currently holds just two out of the ten most populous states and is experiencing difficulties in defining its leader.¹⁴⁶ Yet, PAN-PRI-PRD have confirmed that they will run together as the alliance called Va Por México, and PAN will be in charge of finding the best candidates to challenge Morena.¹⁴⁷ AMLO's recent blatant attacks on Mexico's democratic institutions have helped the opposition reorient and reframe its strategy. Polls from January 2023 reveal that the opposition currently has an approval rating of 39 percent.¹⁴⁸ Further threats to democracy could make the opposition stronger and increase its popular support. If Movimiento Ciudadano (MC) were to join the opposition coalition, the chances of beating Morena would be much higher. MC could tip the balance given its policies are similar to those of PAN and PRI, it appeals to young urban voters, and it currently controls two of Mexico's most important states.¹⁴⁹

THE ELECTORAL OUTLOOK FOR 2024

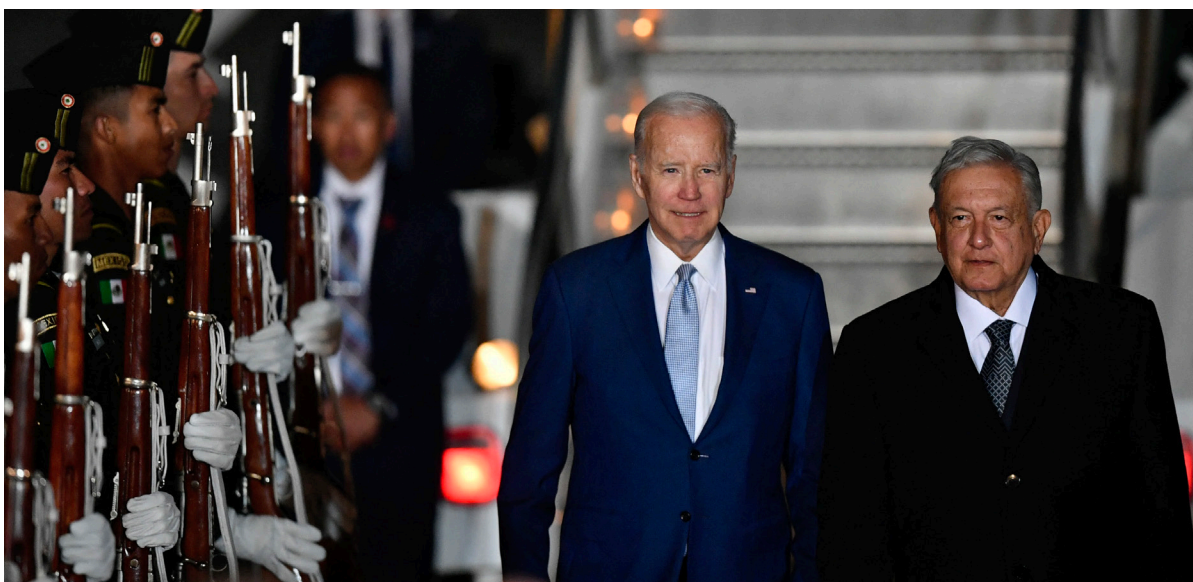
While the question of who will be president in 2024 cannot be answered with any degree of certainty, the June 2023 gubernatorial elections for the State of Mexico and Coahuila nevertheless carry important implications. In the State of Mexico, a shaky coalition among the opposition parties contributed to a win by Morena candidate Delfina Gómez, who garnered a 52.7 percent majority despite having been found guilty of stealing pay from federal employees to support her party during a previous bid for governor. While Morena's victory in a state long viewed as a PRI bastion has been cast as a sign of the inevitability of a Morena president in 2024, the party's defeat by the opposition Va por México coalition in Coahuila suggests such predictions are far from set in stone and underscores the value of coalition-building and effective candidate selection as key ingredients going into 2024.¹⁵⁰ In Coahuila, Morena was beset by difficulties and demonstrated lack of discipline, unceremoniously dumping candidates and making last-minute adjustments to lists after lagging in the polls. The lack of unity among the opposition and current opinion polls still indicate the likelihood of a Morena 2.0 mandate, at least as far as the presidency is concerned. Nevertheless, challenges persist for AMLO in picking a successor, with the possibility of an internal split within Morena. When it comes to Congress, Morena seems likely to lose ground, ushering in a possibly contentious environment dominated by obstructionism, public dissent, and inability to advance policy. Should a successor from Morena ascend to the presidency, they will also need to grapple with AMLO's legacy, which already promises to exercise significant influence as all the party's current aspirants voice their support for creating a new "Ministry of the Fourth Transformation" (potentially headed by AMLO's son) to carry on the outgoing president's vision for the country.

U.S.-Mexico Relations

AMLO's friendly attitude toward Trump from 2018 to 2020 obscured an anti-American agenda. This became even clearer once President Joseph Biden was elected and AMLO refused to congratulate him.¹⁵¹ The two countries are now maintaining a "strained partnership" characterized by unsuccessful diplomatic efforts and controversies over energy policy.¹⁵² In fact, contrary to the equal treatment for private companies and path toward renewable energy established in the USMCA, AMLO proceeded to nationalize energy companies and lithium production. Canadian and U.S. concerns ended up in formal dispute settlement mechanisms, which began in July 2022.

AMLO faces a dilemma regarding the USMCA. Increased economic cooperation with the United States and Canada has been interpreted as a sign of stability, boosting international investments in Mexico.¹⁵³ Yet AMLO's anti-American sentiment has shaped his agenda and has been exploited as a political element. To him, personal popularity and the question of his successor matter more than the relationship with the United States.¹⁵⁴

Migration issues also heavily shape the bilateral relationship. During his administration, Trump threatened to impose 5 percent tariffs on imports from Mexico if the country did not get more involved in controlling migration from Central America. An agreement was reached providing for Mexico's contribution to controlling migration in exchange for noninterference from the United States in internal Mexican issues and AMLO's way of governing.¹⁵⁵ With authorities counting 2.76 million undocumented migrants in 2022, Biden has underscored how Trump's compromise with AMLO does not work anymore, though he has been reluctant to address Mexican internal affairs.¹⁵⁶



U.S. president Joe Biden (L) is welcomed by his Mexican counterpart AMLO upon landing at Felipe Ángeles International Airport in Zumpango de Ocampo, north of Mexico City on January 8, 2023.

Photo Source: Claudio Cruz/AFP/Getty Images

Another controversial area in the U.S.-Mexico relationship touches on drug enforcement cooperation and security. Both countries appear to be talking at cross-purposes. The United States is deeply concerned with drug trafficking, especially fentanyl coming from Mexico, which is responsible for the vast majority of the over 107,000 overdose deaths reported in the United States for 2021.¹⁵⁷ Mexico, for its part, is primarily concerned with the flow of guns from the United States and recently sued the United States for alleged failure to curb illegal arms trafficking to Mexico.¹⁵⁸ Cooperation in this field has been undermined by several actions taken by AMLO's government. In 2020 the National Security Law responded to U.S. prosecution of Mexican officials for collaboration with illegal drug traffickers by limiting the scope of action of U.S. drug enforcement agents on Mexican territory. In 2021 the Mexican government shut down an investigative unit that worked closely with the DEA, complicating the agency's task of passing sensitive information to Mexican agents.¹⁵⁹

With the new Bicentennial Framework launched in January 2022 replacing the Mérida Initiative, which defined U.S.-Mexico security cooperation for over a decade, Mexico and the United States have tried to address organized crime less from a military perspective and more from a public health and developmental perspective, together with actions to target labs and extradite leaders.¹⁶⁰ However, InSight Crime criticizes the plan for remaining very similar to the Mérida Initiative.¹⁶¹ The plan's kingpin strategy, with its excessive focus on targeting leaders, might increase insecurity, as followers are as important as leaders in avoiding fractures within and fights between drug cartels.¹⁶²

Several other episodes have yielded an uneven track record for the diplomatic relationship between Mexico and the United States. In 2022, for instance, AMLO boycotted the Summit of the Americas hosted in Los Angeles. Officially, he cited opposition to the barring of Nicaragua, Cuba, and Venezuela from the summit, though his refusal was likely linked to a desire to avoid critics of Mexico's internal affairs.¹⁶³ The White House meeting between AMLO and Biden in July 2022 reassured the existence and importance of Mexico-U.S. ties. Despite their different styles, Mexico and the United States agreed on the need to work more closely together, reduce barriers to trade, and tackle food insecurity and immigration. Immediately after the meeting, Mexico agreed to spend over \$1.5 billion on border infrastructure between 2022 and 2024.¹⁶⁴

Following the U.S.-Mexico High-Level Economic Dialogue in 2022, the two countries committed to enhance their supply chains and reduce risk of disruptions by nearshoring the manufacturing of critical products, such as semiconductors and personal protective equipment (PPE), to Mexico and addressing critical minerals.¹⁶⁵ The North American Leaders' Summit in January 2023 was also deemed positive by observers for advancing cooperation, though it still took place under a cloud of tense trade negotiations.¹⁶⁶

Despite this gradual diplomatic rapprochement, the United States and Mexico appear ideologically divergent. AMLO has expressed a wish to see the Organization of American States reformed, accusing it of being excessively dominated by the United States. The Mexico State Morena Youth group has supported the Russian invasion of Ukraine, while AMLO has criticized NATO's actions. At the same time, Mexico has signed an agreement with Russia on space cooperation and has diplomatically supported dictatorships such as in Venezuela. This has further complicated every other aspect of the U.S.-Mexico partnership.¹⁶⁷

THE BILATERAL OUTLOOK FOR 2024

Although Biden has not been vocal that the U.S.-Mexico partnership is in danger and has opted not to criticize AMLO's domestic practices, AMLO has brought Mexico ideologically further from the United States than it has been in a long time. On the one hand, security cooperation and diplomacy have faced several ups and downs that can be expected to continue in the final year of the AMLO and Biden administrations, given their inherently different styles and political agendas. On the other hand, trade and economic integration have reached very high levels, with the two sides talking about aligning incentives in key industries such as semiconductors. In 2022 Mexico was the United States' second-largest trading partner in the trade of goods and services, while the United States accounted for 80 percent of Mexican goods exports.¹⁶⁸ Recent increases in bilateral trade portend a trend that is likely to remain. In addition, with growing opportunities to relocate industries from Asia to Latin America to avoid supply chain disruptions, Mexico has become key in attracting investors, underlining the expected expansion of U.S.-Mexico economic relations in the near future.¹⁶⁹

In 2024 the core issues for the U.S.-Mexico relationship are anticipated to remain the same: Mexico and the United States will have to cooperate on trade, investment, full implementation of the USMCA, drug trafficking, security, migration, and especially border control. However, the way in which such cooperation will manifest could vary significantly. In 2024 both the United States and Mexico will elect new presidents. AMLO's departure could already be significant for the partnership, and no matter his success in designating a successor, whoever enters the Palacio Nacional next year will undoubtedly seek to leave their mark on Mexico's foreign policy. Mexican domestic and foreign policy—in particular the extent to which Mexico manages to control its borders—could, in turn, affect U.S. elections, as border policy remains one of the Republican Party's main concerns. Meanwhile, proponents within the U.S. Congress who have pushed legislative initiatives authorizing military force, including air strikes, against criminal organizations operating in Mexico would do well to remember one analyst's observation: "Mexico is a target-rich environment, not for U.S. missiles, but for sanctions."¹⁷⁰

In addition, political relations will determine the extent to which Mexico can secure nearshoring opportunities, as well as investments in minerals, semiconductors, and other key industries that now seem to broaden the potential of U.S.-Mexico economic relations. At the same time, Mexico may continue to pursue its anti-American sentiment aiming to avoid undue interference in internal affairs and seeking the support of countries with similar agendas.¹⁷¹ The more the country becomes militarized and the less secure and democratic it becomes, the more its relations with the United States could be eroded.¹⁷² In any case, Mexico will still need pragmatism, as it cannot neglect its dependence on access to the U.S. market and the great economic and trade opportunities established under the USMCA. Ultimately, geographic proximity, economic interdependence, and positive day-to-day cooperation will play a role in keeping the two countries close, outlining a bright spot in an otherwise gloomy picture.

Conclusion

All told, Mexico in 2024 will face a major reckoning when it comes to its economic, security, and political situation. Economically, growth will likely be tepid, with gains due to nearshoring continuing to drive growth while the country struggles to tap its full potential. In terms of security, there is little to suggest the current rising trend in homicides and expansion of organized criminal networks will abate. Accordingly, AMLO's successor, regardless of who they are, will likely lean upon military and gendarmerie units to control increasingly sophisticated and well-equipped criminal groups. Finally, the electoral question leaves perhaps the most up to chance: if AMLO succeeds in planting a designated successor in 2024, there may be changes to certain policies, though the broad strokes of his agenda will remain intact, consolidating the role of Morena as an institutional actor in Mexican politics. If his preferred successor is defeated, AMLO will not fade quietly into the background. His base of supporters is large enough and loyal enough to allow him to command substantial influence. Furthermore, AMLO's bureaucratic machinations, especially with the installation of the military into infrastructure and economic development roles, will create forces that may be spoilers for an opposition candidate seeking to roll back AMLO-era policies.

These trends do not point inexorably to a negative outcome for Mexico in 2024, though they demand a measure of realism from policymakers. Even a dramatic about-face from a new administration or a change of tack from AMLO in his remaining year and a half in office will not be sufficient to disentangle the challenges identified in the economic, security, and political sectors. Furthermore, Mexico cannot be expected to confront these challenges alone. Indeed, a key trend has been the discontinuity between official pronouncements and bluster and the on-the-ground realities, especially when it comes to U.S.-Mexico cooperation. The United States and Mexico will remain reliant upon one another for the foreseeable future, with those bonds likely to persist regardless of changes in administration.

Nevertheless, the critical areas outlined here should serve as guideposts for further U.S. engagement. Economic development may be fostered through efforts to make good on high-level commitments to nearshoring expressed by the U.S. Congress and the Biden administration. Security cooperation should focus not on brash calls for airstrikes against cartels and weekend invasions but on building on years of progress in forging professional, practical relationships with Mexican police, prosecutors, military, and intelligence services. In particular, enhancing intelligence sharing between relevant agencies will prove crucial if Mexico is to help stem the flow of illicit narcotics and the United States to dam the “iron river” of firearms that empower narcotraffickers on both sides of the border. Finally, the United States and international community must continue to raise the alarm on policies that seek to corrode Mexican democracy, with close attention to international observation of the 2024 presidential elections.

Where Mexico lands in terms of the economic, security, and political factors outlined here will have profound consequences for the United States, North America, and the world. Fortunately, Mexico’s dynamic economy, vibrant civil society, and deep partnerships with the United States will persist long after AMLO departs. Nevertheless, policymakers at all levels must continue and intensify their work to mitigate negative trend lines and draw out positive changes. No matter what, Mexico in 2024 will present new developments and possibilities.

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